

Section : Business Studies

Q.1 Which of the following is NOT the right of consumers as per the Consumer Protection Act 2019?

1. Right to be heard
2. Right to seek redressal
3. Right to consumer education
4. Right to discount

Options 1. 1

2. 2
3. 3
4. 4

Q.2 Which principle of directing states that "mere giving of an order is not sufficient"?

1. Unity of Command
2. Leadership
3. Harmony of objectives
4. Follow through

Options 1. 1

2. 2
3. 3
4. 4

Q.3 Which of the following is NOT the basic characteristic of management?

1. Management is a goal-oriented
2. Management is all pervasive
3. Management is unidimensional
4. Management is a group activity

Options 1. 1

2. 2
3. 3
4. 4

Q.4 Which among the following is NOT the feature of informal organization?

1. It has a definite structure to form a complex network of social relationships among members.
2. The standards of behaviour evolve from group norms rather than officially laid down rules and regulations.
3. Independent channels of communication without specified direction of flow of information are developed by group members.
4. It emerges spontaneously and is not deliberately created by the management.

Options 1. 1

2. 2
3. 3
4. 4

Q.5 Which of the following relates to the stages of staffing process?

- (A) Estimating the Manpower Requirements
- (B) Recruitment
- (C) Delegation
- (D) Placement and Orientation

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.6 "Political conditions in the USA, differ from those in China and Pakistan". Identify the feature of business environment highlighted in the aforesaid statement.

1. Complexity
2. Relativity
3. Inter-relatedness
4. Dynamic Nature

Options 1. 1

2. 2
3. 3
4. 4

Q.7 Which of the following is NOT related to the significance of Principles of Management?

1. Providing managers with useful insights into reality
2. Optimum utilization of resources and effective administration
3. Scientific decisions
4. Profit maximisation

Options 1. 1

2. 2
3. 3
4. 4

Q.8 Which of the following is NOT a limitation of planning?

1. Planning promotes creativity and innovation
2. Planning leads to rigidity
3. Planning does not guarantee success
4. Planning may not work in a dynamic environment

Options 1. 1

2. 2
3. 3
4. 4

Q.9 Which of the following is NOT related to the types of plan?

1. Policy
2. Budget
3. Strategy
4. Monitoring

Options 1. 1

2. 2
3. 3
4. 4

Q.10 Identify the correct sequence of staffing process.

- (A) Training & development
- (B) Recruitment & selection
- (C) Estimating the manpower requirements
- (D) Placement & orientation

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.11 "Management is the process of designing and maintaining an environment in which individuals, working together in groups, efficiently accomplish selected aims." This definition of management was given by:

1. Robert L
2. Kreitner

3. Harold Koontz and Heinz Weihrich

4. M. Gene Newport

Options 1. 1

2. 2

3. 3

4. 4

Q.12 Identify the correct sequence of selection process.

(A) Selection Test

(B) Preliminary screening

(C) Reference check

(D) Employment interview

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)

2. (A), (C), (B), (D)

3. (B), (A), (D), (C)

4. (C), (B), (D), (A)

Options 1. 1

2. 2

3. 3

4. 4

Q.13 Match List-I with List-II

List-I

Principles of Scientific Management

List-II

Explanation

(A) Science not Rule of Thumb

(I) Use of the method of scientific inquiry into the domain of management practice.

(B) Harmony, Not Discord

(II) No conflict between managers and workers.

(C) Cooperation, Not Individualism

(III) Industrial efficiency depends to a large extent on personnel competencies.

(D) Development of Each and Every person to his or her greatest efficiency and prosperity

(IV) There should be an equal division of work and responsibility between workers and management.

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)

2. (A) - (I), (B) - (III), (C) - (II), (D) - (IV)

3. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)

4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.14 Which of the following principles are related to scientific management?

(A) Science not Rule of Thumb

(B) Development of Each and Every Person to His or Her Greatest Efficiency and Prosperity

(C) Unity of Command

(D) Cooperation, Not Individualism

Choose the correct answer from the options given below:

1. (A), (B) and (D) only

2. (A), (B) and (C) only

3. (A), (B), (C) and (D)

4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.15 The importance of consumer protection from the consumer's point of view can be understood from which point?

1. Long-term interest of business
2. Social Responsibility
3. Business uses society's resources
4. Unorganised Consumers

Options 1. 1

2. 2
3. 3
4. 4

Q.16 Which of the following does not relate with the guiding principles of directing process?

1. Maximum individual contribution
2. Minimum team contribution
3. Unity of Command
4. Harmony of objectives

Options 1. 1

2. 2
3. 3
4. 4

Q.17 Which of the following is NOT the objective of Management?

1. Organizational Objectives
2. Social Objectives
3. Personal Objectives
4. Group Objectives

Options 1. 1

2. 2
3. 3
4. 4

Q.18 KRA in controlling process stands for:

1. Key Reverse Areas
2. Key Result Action
3. Key Result Areas
4. Know Result Areas

Options 1. 1

2. 2
3. 3
4. 4

Q.19 Which of the following is NOT an advantage of formal organization?

1. No ambiguity in the role that each member has to play as duties are specified. This also helps in avoiding duplication of effort.
2. Unity of command is maintained through an established chain of command.
3. It leads to saturation in accomplishing the personal goals by providing a framework for the operations.
4. It provides stability to the organization.

Options 1. 1

2. 2
3. 3
4. 4

Q.20 "Eliciting support of others in the venture" indicates which competency of entrepreneurial performance?

1. Persuasion
2. Persistence
3. Initiative
4. Problem-solving

Options 1. 1

2. 2

3. 3

4. 4

Q.21 Identify the correct sequence of communication process.

- (A) Media
- (B) Sender
- (C) Message
- (D) Encoding

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (B), (C), (D), (A)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2

3. 3

4. 4

Q.22 List-I List-II

Concept Equation

(A) Financial Leverage (I) (Profit after tax+depreciation+interest+non cash expenses)/

(pref dividend+interest+repayment obligation)

(B) Net Working Capital (II) Debt/Equity

(C) Interest Coverage Ratio (III) Current Assets - Current Liabilities

(D) Debt service coverage ratio (IV) EBIT/Interest

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (I), (B) - (III), (C) - (II), (D) - (IV)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (II), (B) - (III), (C) - (IV), (D) - (I)

Options 1. 1

2. 2

3. 3

4. 4

Q.23 Match List-I with List-II

List-I

'P's of marketing mix

(A) Product mix

(B) Promotion mix

(C) Physical distribution mix (III) Order processing

(D) Price mix

List-II

Elements/Factors

(I) Labelling

(II) Public relations

(IV) The utility and demand

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (I), (B) - (III), (C) - (II), (D) - (IV)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.24 Arrange the following needs in correct order as per Maslow's Need

Hierarchy Theory.

(A) Esteem needs

(B) Affiliation needs

(C) Safety needs

(D) Physiological needs

Choose the correct answer from the options given below:

1. (D), (C), (B), (A)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)

4. (C), (B), (D), (A)

Options 1. 1

2. 2

3. 3

4. 4

Q.25 Which of the following function is referred to as “the process of identifying and grouping the work to be performed, defining and delegating responsibility and authority and establishing relationships for the purpose of enabling people to work most efficiently together in accomplishing objectives”?

1. Planning
2. Organizing
3. Directing
4. Controlling

Options 1. 1

2. 2

3. 3

4. 4

Q.26 Match List-I with List-II

List-I

List-II

Selection Test

Explanation

(A) Trade Test

(I) Indicator of person's learning ability

(B) Aptitude Test

(II) Individuals potential for learning new skills

(C) Personality Test (III) Measures the existing skills

(D) Intelligence Test (IV) Clues to persons emotions

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (II), (B) - (III), (C) - (IV), (D) - (I)
3. (A) - (III), (B) - (II), (C) - (IV), (D) - (I)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.27 Which of the following is related to the benefits of Planning?

- (A) Planning provides directions
- (B) Planning ensures certainty
- (C) Planning establishes standards for controlling
- (D) Planning facilitates decision making

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (A), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.28 Arrange the following steps of the planning process in proper order.

- (A) Evaluating alternatives
- (B) Setting objectives
- (C) Developing premises
- (D) Identifying alternatives

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (B), (C), (D), (A)

Options 1. 1

2. 2

3. 3

4. 4

Q.29 Which of the following is NOT the important function of decentralization?

1. Develops initiative among subordinates
2. Less workload to lower level management
3. Develops managerial talent for the future
4. Quick decision making

Options 1. 1

2. 2

3. 3

4. 4

Q.30 How many consumer rights are there in the Consumer Protection Act, 2019?

1.4

2.5

3.6

4.7

Options 1. 1

2. 2

3. 3

4. 4

Q.31 Which of the following is NOT the function of Management?

1. Planning
2. Organizing
3. Controlling
4. Publicity

Options 1. 1

2. 2

3. 3

4. 4

Q.32 Identify the concept of entrepreneurial motivation that implies a desire to accomplish something difficult.

1. Need for Power
2. Need for Achievement
3. Need for Affiliation
4. Need for Autonomy

Options 1. 1

2. 2

3. 3

4. 4

Q.33 Which of the following is not related to the process of directing people in the organization?

1. Instructing
2. Budgeting
3. Guiding
4. Counselling

Options 1. 1

2. 2

3. 3

4. 4

Q.34 Identify the importance of controlling.

1. Judging accuracy of standards
2. Clarity in working relationships
3. Difficulty in setting quantitative standards

4. Costly affair

Options 1. 1

2. 2

3. 3

4. 4

Q.35 Match List-I with List-II

List-I

Dimensions of Business Environment

(A) Economic Environment

(B) Social Environment

(C) Technological Environment

(D) Political Environment

List-II

Elements

(I) Stock market indices

(II) Attitude that government holds towards business.

(III) Attitudes towards product innovations.

(IV) Scientific improvements and innovations

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)

2. (A) - (I), (B) - (III), (C) - (IV), (D) - (II)

3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)

4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.36 Which of the following is NOT related to the benefits of staffing?

1. It helps in discovering and obtaining competent personnel for various jobs.
2. It makes for higher performance, by putting the right person on the right job.
3. It improves job satisfaction and morale of employees through objective assessment and fair reward for their contribution.
4. It helps to understand and integrate the marketing needs.

Options 1. 1

2. 2

3. 3

4. 4

Q.37 "Coordination is balancing and keeping together the team by ensuring suitable allocation of tasks to the various members and seeing that the tasks are performed with harmony among the members themselves." This definition of coordination was given by:

1. E.F.L. Brech
2. McFarland
3. Theo Haimann
4. F.W. Taylor

Options 1. 1

2. 2

3. 3

4. 4

Q.38 Which of the following factors constitutes the specific environment of business?

- (A) Economic Environment
- (B) Suppliers
- (C) Technological Environment
- (D) Competitors

Choose the correct answer from the options given below:

1. (A) and (C) only
2. (B) and (D) only
3. (A), (B), (C) and (D)

4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.39 Which of the following are importance of organizing?

(A) Adaptation to change

(B) Clarity in working relationships

(C) Optimum utilization of resources

(D) Benefits of specialization

Choose the correct answer from the options given below:

1. (A), (B) and (D) only

2. (A), (B) and (C) only

3. (A), (B), (C) and (D)

4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.40 Which among the following is NOT the importance of controlling function of management?

1. Coping with employees' grievances

2. Accomplishing organizational goals

3. Judging accuracy of standards

4. Facilitating coordination in action

Options 1. 1

2. 2

3. 3

4. 4

Q.41 EcoTech is a new brand focused on producing eco-friendly, energy-efficient electronic devices such as smartphones, laptops, and home appliances. Their mission is to provide consumers a sustainable alternatives to traditional electronics. The products are designed with recyclable materials, energy-efficient technology, and packaged in biodegradable materials. EcoTech's target market includes tech-savvy millennials, environmentally-conscious individuals, and businesses looking for sustainable solutions.

Following are the salient features of Eco Tech business:

1. EcoTech offers high-performance electronics that are made from sustainable materials and have lower energy consumption. They provide warranty and free repairs for the first year, and their products come with an eco-certification label to assure customers of the brand's environmental commitment.
2. The brand uses a premium pricing strategy. EcoTech's products are priced higher than conventional brands, reflecting the cost of sustainable production, innovation, and the value they offer in terms of environmental impact.
3. EcoTech's products are available through its online store, select retail outlets, and high-end department stores focused on sustainable living. They also offer global shipping, making their products accessible to international customers.
4. EcoTech sponsors sustainability events and runs awareness campaigns about the environmental impact of electronic waste and publishes the same in the press and their websites for information to customers.

Which of the following is a key feature of EcoTech's pricing strategy?

1. Low-cost pricing to attract a large market
2. High prices reflecting the premium value of sustainable products
3. Discounts to compete with other brands
4. Uniform pricing across all product categories

Options 1. 1

2. 2

3. 3

4. 4

Q.42 EcoTech is a new brand focused on producing eco-friendly, energy-efficient electronic devices such as smartphones, laptops, and home appliances. Their mission is to provide consumers a sustainable alternatives to traditional electronics. The products are designed with recyclable materials, energy-efficient technology, and packaged in biodegradable materials. EcoTech's target market includes tech-savvy millennials, environmentally-conscious individuals, and businesses looking for sustainable solutions.

Following are the salient features of Eco Tech business:

1. EcoTech offers high-performance electronics that are made from sustainable materials and have lower energy consumption. They provide warranty and free repairs for the first year, and their products come with an eco-certification label to assure customers of the brand's environmental commitment.
2. The brand uses a premium pricing strategy. EcoTech's products are priced higher than conventional brands, reflecting the cost of sustainable production, innovation, and the value they offer in terms of environmental impact.
3. EcoTech's products are available through its online store, select retail outlets, and high-end department stores focused on sustainable living. They also offer global shipping, making their products accessible to international customers.
4. EcoTech sponsors sustainability events and runs awareness campaigns about the environmental impact of electronic waste and publishes the same in the press and their websites for information to customers.

"The company employs digital marketing through social media campaigns, influencer partnerships, and online advertisements". Identify the marketing mix highlighted in the aforesaid statement.

1. Product
2. Place
3. Promotion
4. Price

Options 1. 1

2. 2

3. 3

4. 4

Q.43 EcoTech is a new brand focused on producing eco-friendly, energy-efficient electronic devices such as smartphones, laptops, and home appliances. Their mission is to provide consumers a sustainable alternatives to traditional electronics. The products are designed with recyclable materials, energy-efficient technology, and packaged in biodegradable materials. EcoTech's target market includes tech-savvy millennials, environmentally-conscious individuals, and businesses looking for sustainable solutions.

Following are the salient features of Eco Tech business:

1. EcoTech offers high-performance electronics that are made from sustainable materials and have lower energy consumption. They provide warranty and free repairs for the first year, and their products come with an eco-certification label to assure customers of the brand's environmental commitment.
2. The brand uses a premium pricing strategy. EcoTech's products are priced higher than conventional brands, reflecting the cost of sustainable production, innovation, and the value they offer in terms of environmental impact.
3. EcoTech's products are available through its online store, select retail outlets, and high-end department stores focused on sustainable living. They also offer global shipping, making their products accessible to international customers.
4. EcoTech sponsors sustainability events and runs awareness campaigns about the environmental impact of electronic waste and publishes the same in the press and their websites for information to customers.

"EcoTech sponsors sustainability events and runs awareness campaigns about the environmental impact of electronic waste and publishes the same in the press and their websites for information to customers".

Identify the promotion mix highlighted in the aforesaid statement.

1. Advertising
2. Public Relations
3. Sales Promotion
4. Personal Selling

Options 1. 1

2. 2

3. 3

4. 4

Q.44 EcoTech is a new brand focused on producing eco-friendly, energy-efficient electronic devices such as smartphones, laptops, and home appliances. Their mission is to provide consumers a sustainable alternatives to traditional electronics. The products are designed with recyclable materials, energy-efficient technology, and packaged in biodegradable materials. EcoTech's target market includes tech-savvy millennials, environmentally-conscious individuals, and businesses looking for sustainable solutions.

Following are the salient features of Eco Tech business:

1. EcoTech offers high-performance electronics that are made from sustainable materials and have lower energy consumption. They provide warranty and free repairs for the first year, and their products come with an eco-certification label to assure customers of the brand's environmental commitment.
2. The brand uses a premium pricing strategy. EcoTech's products are priced higher than conventional brands, reflecting the cost of sustainable production, innovation, and the value they offer in terms of environmental impact.
3. EcoTech's products are available through its online store, select retail outlets, and high-end department stores focused on sustainable living. They also offer global shipping, making their products accessible to international customers.
4. EcoTech sponsors sustainability events and runs awareness campaigns about the environmental impact of electronic waste and publishes the same in the press and their websites for information to customers.

"EcoTech's products are available through its online store, select retail outlets, and high-end department stores focused on sustainable living. They also offer global shipping, making their products accessible to international customers". Identify the marketing mix highlighted in the aforesaid statement.

1. Place
2. Price
3. Promotion
4. Product

Options 1. 1

2. 2
3. 3
4. 4

Q.45 EcoTech is a new brand focused on producing eco-friendly, energy-efficient electronic devices such as smartphones, laptops, and home appliances. Their mission is to provide consumers a sustainable alternatives to traditional electronics. The products are designed with recyclable materials, energy-efficient technology, and packaged in biodegradable materials. EcoTech's target market includes tech-savvy millennials, environmentally-conscious individuals, and businesses looking for sustainable solutions.

Following are the salient features of Eco Tech business:

1. EcoTech offers high-performance electronics that are made from sustainable materials and have lower energy consumption. They provide warranty and free repairs for the first year, and their products come with an eco-certification label to assure customers of the brand's environmental commitment.
2. The brand uses a premium pricing strategy. EcoTech's products are priced higher than conventional brands, reflecting the cost of sustainable production, innovation, and the value they offer in terms of environmental impact.
3. EcoTech's products are available through its online store, select retail outlets, and high-end department stores focused on sustainable living. They also offer global shipping, making their products accessible to international customers.
4. EcoTech sponsors sustainability events and runs awareness campaigns about the environmental impact of electronic waste and publishes the same in the press and their websites for information to customers.

Who is the marketer in the above case study?

1. Elderly consumers
2. Eco Tech
3. Budget-conscious shoppers
4. Large corporations

Options 1. 1

2. 2
3. 3
4. 4

Q.46 Background:

Green Innovations Ltd. is an emerging company specializing in renewable energy solutions, such as solar panels and wind turbines. The company has seen steady growth in its first few years, and management is now focusing on long-term financial strategies to fuel further expansion. Green Innovations plans to invest \$15 million in new manufacturing facilities and R&D for product innovation in the upcoming fiscal year. The company's CFO is working on a financial plan to ensure the funds are allocated efficiently while maintaining a healthy cash flow. The company has also forecasted a 20% increase in sales due to growing demand for sustainable energy solutions.

Currently, Green Innovations is reinvesting its profits into growth and diversification projects. It is allocating firm's capital to different projects with long term implications for the business.

The company's current composition of capital consists of 60% equity and 40% debt. The management is considering adjusting the mix to increase debt in order to take advantage of low-interest rates.

Green Innovations is focused on minimizing its cost of capital to ensure that future investments yield strong returns while keeping debt levels manageable.

The management is considering adjusting the mix to increase debt in order to take advantage of low-interest rates, but this will increase the _____ risk for the company.

1. Marketing risk
2. Financial risk

3. Operational risk

4. External risk

Options 1. 1

2. 2

3. 3

4. 4

Q.47 Background:

Green Innovations Ltd. is an emerging company specializing in renewable energy solutions, such as solar panels and wind turbines. The company has seen steady growth in its first few years, and management is now focusing on long-term financial strategies to fuel further expansion. Green Innovations plans to invest \$15 million in new manufacturing facilities and R&D for product innovation in the upcoming fiscal year. The company's CFO is working on a financial plan to ensure the funds are allocated efficiently while maintaining a healthy cash flow. The company has also forecasted a 20% increase in sales due to growing demand for sustainable energy solutions.

Currently, Green Innovations is reinvesting its profits into growth and diversification projects. It is allocating firm's capital to different projects with long term implications for the business.

The company's current composition of capital consists of 60% equity and 40% debt. The management is considering adjusting the mix to increase debt in order to take advantage of low-interest rates.

Green Innovations is focused on minimizing its cost of capital to ensure that future investments yield strong returns while keeping debt levels manageable.

"Green innovations plans to invest \$15 million in new manufacturing facilities and R&D for product innovation in the upcoming fiscal year. The company's CFO is working on a financial plan to ensure the funds are allocated efficiently while maintaining a healthy cash flow". Identify the concept of financial management which is being discussed in the aforesaid statement.

1. Working Capital decision
2. Financial Planning
3. Capital Budgeting decision
4. Financial Leverage

Options 1. 1

2. 2

3. 3

4. 4

Q.48 Background:

Green Innovations Ltd. is an emerging company specializing in renewable energy solutions, such as solar panels and wind turbines. The company has seen steady growth in its first few years, and management is now focusing on long-term financial strategies to fuel further expansion.

Green Innovations plans to invest \$15 million in new manufacturing facilities and R&D for product innovation in the upcoming fiscal year. The company's CFO is working on a financial plan to ensure the funds are allocated efficiently while maintaining a healthy cash flow. The company has also forecasted a 20% increase in sales due to growing demand for sustainable energy solutions.

Currently, Green Innovations is reinvesting its profits into growth and diversification projects. It is allocating firm's capital to different projects with long term implications for the business.

The company's current composition of capital consists of 60% equity and 40% debt. The management is considering adjusting the mix to increase debt in order to take advantage of low-interest rates.

Green Innovations is focused on minimizing its cost of capital to ensure that future investments yield strong returns while keeping debt levels manageable.

"The company's current composition of capital consists of 60% equity and 40% debt". Identify the concept that is being highlighted in the aforesaid statement.

1. Financial Planning
2. Capital Adequacy Ratio
3. Financial Decisions
4. Capital Structure

Options 1. 1

2. 2

3. 3

4. 4

Q.49 Background:

Green Innovations Ltd. is an emerging company specializing in renewable energy solutions, such as solar panels and wind turbines. The company has seen steady growth in its first few years, and management is now focusing on long-term financial strategies to fuel further expansion.

Green Innovations plans to invest \$15 million in new manufacturing facilities and R&D for product innovation in the upcoming fiscal year. The company's CFO is working on a financial plan to ensure the funds are allocated efficiently while maintaining a healthy cash flow. The company has also forecasted a 20% increase in sales due to growing demand for sustainable energy solutions.

Currently, Green Innovations is reinvesting its profits into growth and diversification projects. It is allocating firm's capital to different projects with long term implications for the business.

The company's current composition of capital consists of 60% equity and 40% debt. The management is considering adjusting the mix to increase debt in order to take advantage of low-interest rates.

Green Innovations is focused on minimizing its cost of capital to ensure that future investments yield strong returns while keeping debt levels manageable.

What financial metric will Green Innovations focus on to assess investment opportunities?

1. Interest Coverage Ratio
2. Cost of capital
3. Dividend payout ratio
4. Earnings per share

Options 1. 1

2. 2

3. 3

4. 4

Q.50 Background:

Green Innovations Ltd. is an emerging company specializing in renewable energy solutions, such as solar panels and wind turbines. The company has seen steady growth in its first few years, and management is now focusing on long-term financial strategies to fuel further expansion.

Green Innovations plans to invest \$15 million in new manufacturing facilities and R&D for product innovation in the upcoming fiscal year. The company's CFO is working on a financial plan to ensure the funds are allocated efficiently while maintaining a healthy cash flow. The company has also forecasted a 20% increase in sales due to growing demand for sustainable energy solutions.

Currently, Green Innovations is reinvesting its profits into growth and diversification projects. It is allocating firm's capital to different projects with long term implications for the business.

The company's current composition of capital consists of 60% equity and 40% debt. The management is considering adjusting the mix to increase debt in order to take advantage of low-interest rates.

Green Innovations is focused on minimizing its cost of capital to ensure that future investments yield strong returns while keeping debt levels manageable.

"Currently, Green Innovations is reinvesting its profits into growth and diversification projects. It is allocating firm's capital to different projects with long term implications for the business.". Identify the concept of financial management discussed in the aforesaid statement.

1. Financing Decision
2. Dividend Decision
3. Investment Decision
4. Financial Planning

Options 1. 1

2. 2

3. 3

